



MARKET MONITOR

No. 54 – December 2017

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Roundup

Despite some downgrading of the outlook for wheat and soybeans, global supplies of the four AMIS crops continue to point to comfortable prospects in 2017/18. Price developments in November remained muted, reflecting generally well-balanced markets. While unfavourable climatic conditions are seen to have hampered production prospects in several major growing areas, large inventories are expected to buffer against potential shortfall.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	▲	▲
Rice	▲	▲
Soybeans	▼	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** 2017 production raised, reflecting upward revisions in the EU more than offsetting a cut in Argentina; but latest forecast still below last year's record.

- Utilization in 2017/18 increased, mostly due to higher-than-earlier projected increases in the EU.
- Trade in 2017/18 (July/June) seen to remain below the previous season's peak, largely because of lower import demand by China and India.
- Stocks (ending in 2018) reduced slightly but still expected to rise sharply y/y to a record high level, with China and Russia accounting for most of the increase.

WHEAT	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	7-Dec	est.	f'cast	est.	f'cast
		2-Nov			8-Nov		23-Nov
Production	761.3	752.8	754.9	753.9	752.0	754.0	748.9
Supply	983.7	998.0	999.3	995.3	1,007.6	977.8	990.6
Utilization	733.7	738.2	739.8	739.6	740.1	736.0	741.6
Trade	177.1	175.2	175.0	182.9	180.7	175.6	173.8
Stocks	244.4	258.2	257.2	255.6	267.5	241.7	249.0

- **Maize** 2017 production lifted significantly, mostly reflecting upward revisions in Indonesia and the US.
- Utilization in 2017/18 raised, with most of the increase driven by higher feed use.
- Trade in 2017/18 (July/June) reduced, partially because of lower-than-earlier projected import demand by Viet Nam; but global trade still to surpass the 2016/17 record volume by a significant margin.
- Stocks (ending in 2018) scaled up mostly on larger inventory build-ups in several countries, especially in the US where ending stocks could climb to a new record.

MAIZE	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	7-Dec	est.	f'cast	est.	f'cast
		2-Nov			8-Nov		23-Nov
Production	1,041.5	1,063.6	1,075.3	1,074.8	1,043.9	1,079.2	1,039.8
Supply	1,267.1	1,299.8	1,312.7	1,289.2	1,270.5	1,288.7	1,274.9
Utilization	1,034.9	1,056.1	1,061.8	1,062.6	1,066.6	1,054.6	1,069.4
Trade	139.0	143.9	143.0	163.6	151.6	138.0	148.7
Stocks	237.3	236.7	245.2	226.6	203.9	235.1	205.5

- **Rice** production forecast essentially unchanged m/m, as upward revisions for Myanmar, Pakistan and the Philippines are partly outweighed by reductions for Bangladesh and Madagascar.
- Utilization forecast for 2017/18 trimmed on lower expected feed use in Asia.
- Trade in 2018 raised somewhat, mainly on higher than earlier anticipated exports by China and Myanmar.
- Stocks (ending in 2018) upgraded, mostly on larger expected carry-overs in Bangladesh, India and Viet Nam.

RICE (milled)	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	7-Dec	est.	f'cast	est.	f'cast
		2-Nov			8-Nov		23-Nov
Production	501.1	500.8	500.8	486.6	481.2	485.7	481.6
Supply	668.5	669.3	669.9	619.2	619.3	607.0	604.9
Utilization	497.9	503.2	503.0	481.1	480.4	483.7	484.0
Trade	45.9	45.4	46.2	45.3	44.9	43.7	43.2
Stocks	169.1	169.2	170.2	138.1	138.9	123.4	121.0

- **Soybean** 2017/18 production lowered slightly, with downward corrections in Argentina only partially offset by higher forecasts for Brazil.
- Utilization in 2017/18 raised on higher forecasts for China and Brazil; but the y/y growth still set to remain below average.
- Trade forecast for 2017/18 lifted because of stronger-than-earlier anticipated import demand by China and higher export availabilities in Brazil.
- Stocks (2017/18 carry-out) reduced following downward revisions in Argentina and Brazil.

SOYBEANS	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	7-Dec	est.	f'cast	est.	f'cast
		2-Nov			8-Nov		23-Nov
Production	348.6	346.3	345.9	351.3	348.9	350.1	347.8
Supply	393.0	397.6	397.0	429.4	445.2	381.7	392.8
Utilization	340.3	348.8	350.8	330.1	345.0	336.8	351.7
Trade	147.7	152.5	153.3	147.7	152.4	147.3	152.9
Stocks	51.1	49.1	45.9	96.3	97.9	45.1	41.1



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	2154	-214	1620	-180	-941	11722	-1873	5769	-1877	7434
Total AMIS	1200	-600	1553	-200	-2866	9667	-895	5189	-1577	5357
Argentina	-1000	-	-50	-1000	-980	-	-	500	500	1000
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-	-	-	-	-	-	-	-	-
Canada	-	-	-30	700	-	668	-100	255	-300	50
China Mainland	-	-	-	-	-5	-	-	-	-	43
Egypt	-	-	-	-	-300	-	700	700	-	-
EU	2000	-	2300	-800	500	-500	-	-400	-100	-
India	-	-1000	-1000	-100	-	-270	-	-	-100	470
Indonesia	-	900	233	-	200	3650	-100	3532	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-300	130	-264	-	94
Rep. of Korea	-	100	-	-	-	-	-	-	-	-
Russian Fed.	400	-	-	1000	-600	-100	-	400	-500	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	300	-	200	100	-
Turkey	-200	-	-	-	-200	-100	-	-100	-	-
Ukraine	-	-	-	-	-	-1229	-	-85	-1200	56
US	-	-	-	-	-681	7554	-	1905	-	3744
Viet Nam	-	-600	100	-	-800	-6	-1525	-1454	23	-100

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	51	727	-191	769	982	-463	699	2035	811	-3210
Total AMIS	7	90	-355	108	664	-663	1199	2537	711	-3262
Argentina	-	-	22	-30	38	-1310	-	190	-100	-1500
Australia	-	-	5	-80	20	14	-	-	5	10
Brazil	-	30	-15	20	-	867	-	1067	700	-1500
Canada	-	10	5	-	5	-	-	-90	150	-10
China Mainland	-103	-100	-455	200	-	-	1600	2010	-	-40
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-16	10	-11	90	-50	-	-	-	-	-
India	-	-	-30	100	370	-	-	-	-	-
Indonesia	-	-	-	-	-	-50	-200	-300	-	-
Japan	-58	-	12	-	-70	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	30	1	8	-	-	-	-75	-	-75
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	203	-	103	-	100	-	-	-	-	-
Rep. of Korea	17	30	-3	-	20	-	-	-	-	-
Russian Fed.	-	10	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-60	-	-10	-	-	-	-	-
South Africa	-	20	-15	-	-25	-24	-85	-109	-	-
Thailand	-	-	-	-	-	-	-151	-155	-10	-20
Turkey	-33	40	30	-	-	-	-	-	-	-
Ukraine	3	-	3	-	-	-20	-	2	-34	10
US	-6	10	2	-	66	-140	-	10	-	-150
Viet Nam	-	-	50	-200	200	-	35	-13	-	13

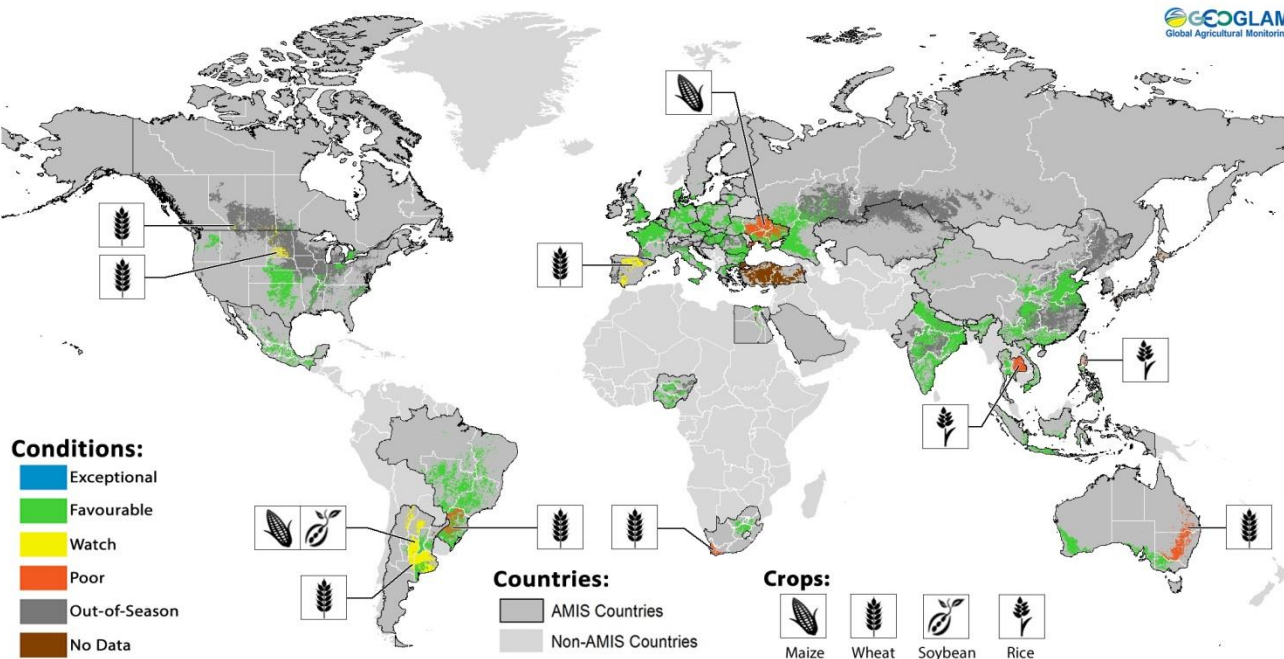


Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 November)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 28 November. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat conditions are generally favourable heading into winter dormancy. In the southern hemisphere, harvest begins under mixed conditions, albeit with some improvement in Argentina and with significant variability across Australia.

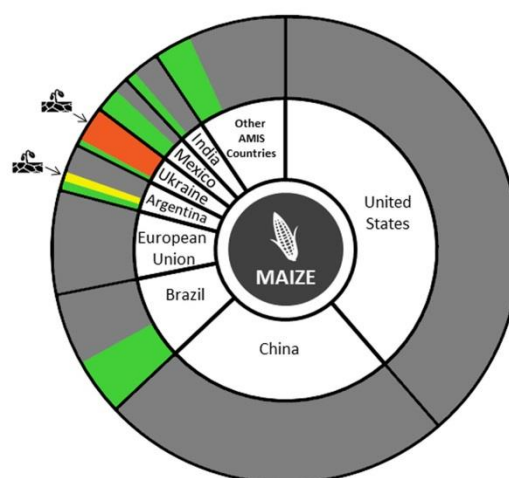
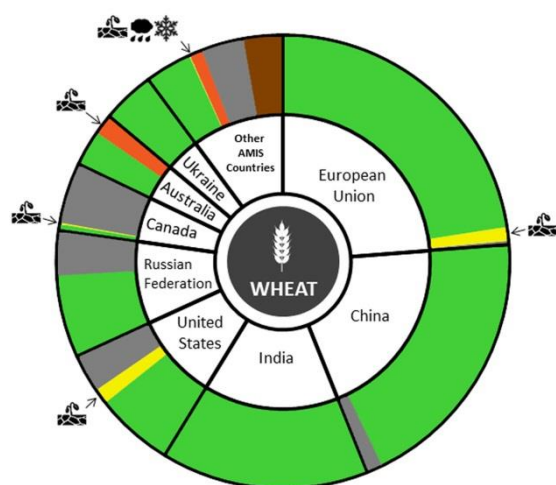
Maize - In the northern hemisphere, harvest wrapped up favourably except in Ukraine. In the southern hemisphere, conditions are generally favourable with minor areas of dryness in Argentina.

Rice - In Asia, crop conditions are generally favourable. Harvest of wet-season rice is ongoing except in Indonesia, where dry-season rice is being harvested. Sowing of the Rabi crop has begun in India. The northeast of Thailand and the northern Philippines have been negatively impacted by heavy rainfall.

Soybean - In the northern hemisphere, harvest wrapped up under favourable conditions. In the southern hemisphere, crop conditions are favourable for Brazil, while sowing begins under mixed conditions in Argentina.

La Niña update

On 9 November, the US Climate Prediction Center announced a change in La Niña status from *Watch* to *Advisory*, meaning that La Niña conditions are observed and expected to continue. The probability of continuation through February is about 70 percent, double the typical probability for this period. There is a 50 percent chance thereafter of La Niña persisting through April 2018. Above normal rains are favoured for Central America, the Caribbean, northern South America, and parts of Southeast Asia (the Philippines, Malaysia and eastern Indonesia). Drier-than-normal conditions are favoured for western Indonesia (Java and Sumatra), southwest Asia, the Horn of Africa, southeastern South America, eastern China, and the southern US. Though Southern Africa typically experiences above-normal rains with La Niña, forecast models, responding to atypical conditions in the Indian Ocean, call for drier than normal conditions for parts of Mozambique, South Africa, and Zimbabwe.

Conditions:**Drivers:****Wheat**

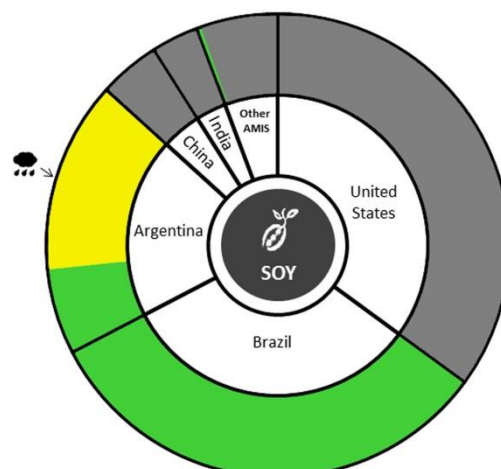
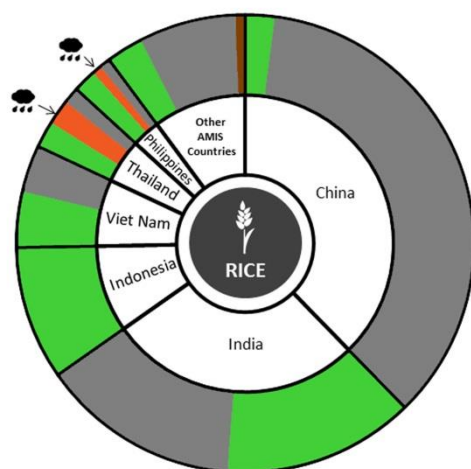
In the **EU**, winter wheat conditions are generally favourable, while some large areas continue to experience difficult sowing conditions. In **Ukraine**, winter wheat conditions are favourable with adequate soil moisture for establishment before winter dormancy. In the **Russian Federation**, conditions are favourable for winter wheat establishment. In **China**, winter wheat conditions are favourable with improvements in temperatures and soil moisture in the southwest, which is the most productive region. In **India**, sowing of Rabi wheat have begun under favourable conditions. In the **US**, winter wheat is progressing favourably, with some continued dryness in the northern plains. In **Canada**, conditions are generally favourable for winter wheat with minor dryness in the prairies, which is limiting seeding. In **Australia**, harvest progress has been slowed by November rainfall. Conditions vary significantly across the country with improvements in Western Australia during the spring, while conditions in New South Wales have deteriorated, leading to well below average yields. In **Argentina**, harvest is almost finished in the north and beginning in the south under generally favourable conditions. Recent frosts in the southern areas during the grain filling stages will potentially impact yields.

Maize

In the **US**, harvest finished under favourable conditions with yields just above last year's record. In **Mexico**, harvest of the spring-planted crop continues under good conditions. In the **EU**, harvest finished under favourable conditions in eastern countries, counterbalancing unfavourable conditions in Mediterranean and central countries. In **Ukraine**, harvest is all but completed under generally poor conditions due to drought and heat stress during the season, with the exception of the west. In **India**, sowing of the Rabi crop is progressing under favourable conditions. In **Brazil**, conditions are favourable as the sowing of spring-planted maize has concluded in the main regions. In **Argentina**, conditions are mixed for early planted maize with high temperatures and low soil moisture affecting areas in Córdoba and areas in the north entering the vegetative stage. In **South Africa**, conditions are generally favourable as sowing continues.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, conditions are favourable for late-rice in the south with the crop in the maturing stage. In **India**, conditions are favourable for the sowing of the Rabi crop. In **Indonesia**, conditions are favourable as harvest of dry-season rice enters the peak period, with expected higher yields than last year. Sowing of wet-season rice continues slowly, while producers are waiting for higher rainfall levels. In **Viet Nam**, harvesting of wet-season rice continues under favourable conditions with yields slightly below average in the north and slightly above average in the south. In **Thailand**, wet-season rice is in the grain filling stage under generally favourable conditions except in the northeast, where conditions are poor due to October flood damage and disease outbreaks. In the **Philippines**, harvesting has begun for wet-season rice planted in July-August under generally favourable conditions. Heavy rainfall and cyclones in October and November brought flood damage to northern regions of Luzon Island affecting final yields.

Soybeans

In the **US**, harvest is completed with a record production due to an increase in sown area and good yields. In **Brazil**, sowing wraps up under favourable conditions owing to the return of rains. An increase in area is expected for this season. In **Argentina**, sowing of spring-planted crop continues under mixed conditions due to low soil moisture in the north. By contrast, soil saturation is improving in the south, due to recent dry conditions and increasing temperatures.

Information on crop conditions in non-AMIS countries

can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 7 December 2017

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 7 November, **Brazil** abandoned plans to establish a 750 000 tonne duty-free quota to import wheat from non-Mercosur countries.
- On 31 October, **Egypt's** Ministry of Agriculture and Land Reclamation issued Directive No. 48, allowing wheat imports containing up to 0.05 percent ergot fungi, in line with international standards. However, on 14 November, a lower court banned wheat imports from the Russian Federation containing trace amounts of the fungi. A higher court is yet to issue a final ruling.
- On 8 November, **India's** Central Board of Excise and Customs issued notification No. 84/2017 raising the customs duty on wheat from 10 to 20 percent.
- On 24 November, the **Russian Federation** and Venezuela signed a memorandum to further increase Venezuelan supplies of milling wheat from the Russian Federation.

Rice

- On 10 November, **Thailand's** Bank for Agriculture and Agricultural Cooperatives announced availability of 83.7 billion THB (USD 2.56 billion) in loans and credits for paddy farmers who agree to delay selling their product. The scheme runs till 28 February 2018 and is aimed at stabilizing prices during the 2017/2018 harvest.

Soybeans

- On 24 November, **Argentina** authorized cultivation of a new genetically-modified soybean seed resistant to herbicides other than glyphosate.
- On 17 November, **India's** Central Board of Excise and Customs issued notification No. 88/2017 raising customs duties on soybeans from 30 to 45 percent; and notification No. 87/2017 raising customs duties on crude soy oil from 17.5 to 30 percent, and on refined soy oil from 20 to 35 percent.

Biofuels

- On 2 November, the Ministry of Energy in **Argentina** cut the price for sugarcane-derived ethanol by 15 percent. On 28 November, however, the price cut was reduced to 7.5 percent for sugarcane-derived ethanol and to 10.5 percent from 21.1 percent for maize-based ethanol.

- On 9 November, **China** announced removal of the 11 percent VAT imposed on distilled dried grains (DDGs) from 20 December.
- On 1 November, **India** revised the ethanol price from INR 49.50 (USD 0.77) per litre to INR 40.85 (USD 0.63) per litre for sale to public sector companies. The new price will apply from 1 December 2017 to 30 November 2018.
- On 9 November, the **US** Commerce Department announced affirmative final countervailing duty determinations for biodiesel from Argentina (71.45 percent to 72.28 percent) and Indonesia (34.45 percent to 64.73 percent) biodiesel.
- On 30 November, the **US** Environmental Protection Agency (EPA) revised the standards for renewable fuel volumes under the Renewable Fuels Standard programme for 2018, and biomass-based diesel for 2019. The final 2018 standards (renewable, advanced and conventional biofuels) barely change from EPA's prior proposal. The release set the maximum access for maize ethanol at 15 billion gallons for 2018. The requirement for biomass-based diesel for 2019 remains unchanged. In the case of cellulosic biofuels, 2018 requirements decreased from 311 million gallons in 2017 to 288 million gallons.
- On 16 November, 19 member countries of the UN Climate Change Conference (COP23) signed a Declaration on "Scaling-up the low carbon bioeconomy: an urgent and vital challenge". The Declaration sets out collective targets for biofuel usage and suggests ways to achieve them. These countries among AMIS participants include **Argentina, Brazil, Canada, China, Egypt, India, Indonesia, and the Philippines**.

Logistics/Infrastructure

- On 15 November, **Argentina** announced a 30 percent cut in costs of docking services in the port of Rosario.
- On 17 November, **China's** National Development and Reform Commission issued Regulation No. 1987 titled "Food Security Control and Emergency Facilities within the Central Budget Investment Management Measures". The regulation aims to subsidise projects designed to build and upgrade grain transportation and storage facilities along the main railways/ports in order to reduce distribution costs and improve efficiency.
- On 21 November, the **Russian Federation** expanded the railways discount for grain exports to six new



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

regions, effective from end of June 2018. Seven other regions already benefit from the scheme since October 2017.

Across the board

- On 10 November, **Australia** concluded a Free Trade Agreement with Peru (PAFTA). On entry into force, Australia will have duty-free access to Peru for wheat and 9 000 tonnes of rice (increasing to 14 000 tonnes in 5 years).
- On 27 November, the **European Commission** renewed the license for glyphosate for 5 years.
- On 13 November, the CME Group announced the launch of financially settled Black Sea Wheat FOB and Black Sea Maize FOB futures contracts, to begin trading on 18 December 2017.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Nov 2017 Average*	% Change M/M	% Change Y/Y
GOI	193	+0.1%	+1.9%
Wheat	175	+0.1%	+11.5%
Maize	164	+0.5%	-8.9%
Rice	165	+0.3%	+14.4%
Soybeans	192	-0.1%	-2.9%

*Jan 2000=100, derived from daily export quotations

Wheat

Amid limited news, the tone of world wheat export markets remained generally weak during November, weighed by heavy supplies and strong competition for any export business. Aided by attractive prices, a solid pace of exports was maintained from the Black Sea region, contributing to lacklustre demand at other origins. There was some price support from untimely rains in Australia, seen potentially damaging the quality of the harvest, while early yield reports from Argentina were termed disappointing. With prices for the individual components moving in a narrow range, the IGC GOI wheat sub-Index showed little m/m change.

Maize

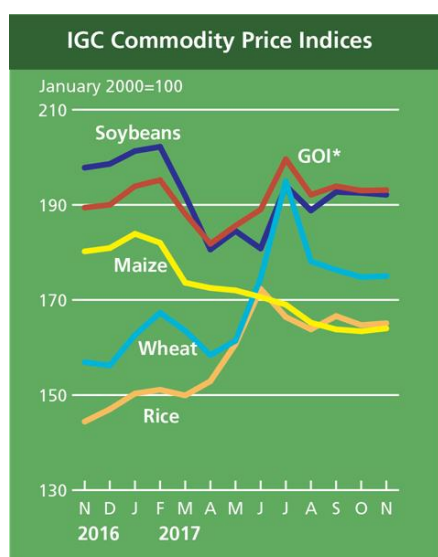
After nine successive monthly declines, the IGC maize sub-Index firmed slightly in November, as modest gains in South America and the Black Sea region compensated for renewed losses in the US. However, owing to ample spot supplies, average prices are down 8.9 percent compared to a year earlier. Nearby FOB quotations in Brazil crept higher, drawing support from occasional planting delays and speculation about a likely smaller surplus from the next safrinha crop. Values in Argentina were underpinned by slow country movement and concerns about dry conditions. In contrast, the US market was weaker following another upward revision to the official yield estimate and as the harvest neared completion.

Rice

With export quotations for white and parboiled grades in Asia somewhat mixed during November, the IGC GOI rice sub-Index was broadly steady m/m. The market in Thailand moved higher as tightening old crop stocks underpinned sentiment, with modest support, too, from the underlying strength of international demand and currency movements. In Viet Nam, despite a recent slowdown, exports have progressed at a robust pace and markets were firmer on thin supplies. In South Asia, by contrast, fob values in India were lower on seasonal pressure.

Soybeans

In a month of two-sided price movements, the IGC GOI soybean sub-Index was little changed m/m. Global export values were initially buoyed by weather-related production concerns in South America, notably dryness in core growing areas of Argentina, and firm international demand. However, gains were contained by pressure from the completion of the US harvest and mostly bearish world market fundamentals. More recently, improving crop conditions in Argentina and Brazil, where fieldwork made solid progress after earlier delays, added to the negative tone.

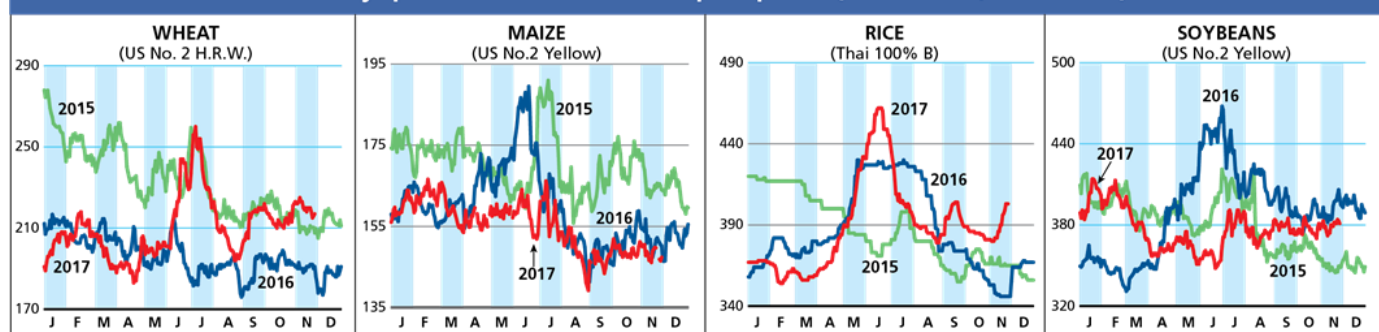


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2016	November	189.4	156.9	180.2	144.4	197.8
	December	190.0	156.2	180.9	147.0	198.6
2017	January	193.9	162.6	183.9	150.3	201.3
	February	195.2	167.3	182.0	151.1	202.2
	March	188.1	163.5	173.6	149.9	191.9
	April	181.8	158.4	172.5	152.9	180.6
	May	185.6	161.4	172.0	160.7	184.5
	June	189.0	174.6	170.6	172.3	180.8
	July	199.6	194.9	169.0	166.4	194.0
	August	192.1	178.1	165.2	163.8	188.8
	September	193.9	176.3	163.8	166.6	192.7
	October	193.0	174.8	163.4	164.7	192.5
	November	193.1	175.0	164.0	165.1	192.1

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)

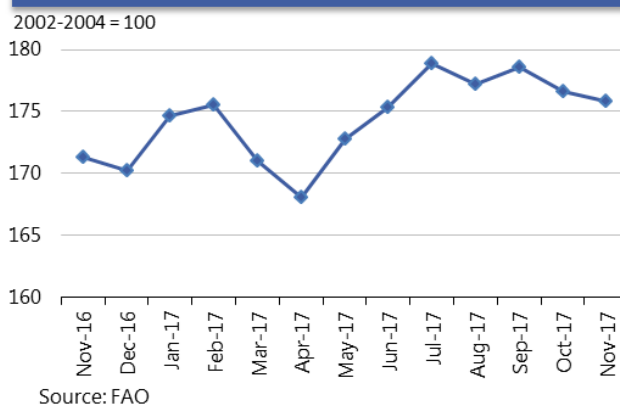
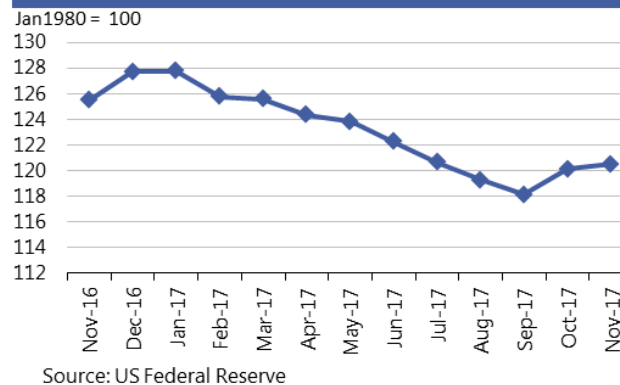


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	30-Nov	218	220	214	183	-0.9%	19.1%
Maize (US No. 2, Yellow)	30-Nov	149	150	147	146	-0.8%	1.5%
Rice (Thai 100% B)	30-Nov	403	397	381	355	1.5%	13.5%
Soybeans (US No.2, Yellow)	30-Nov	371	382	375	395	-2.9%	-6.1%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	November 2017 Average	Monthly Change	Annual Change
Argentina	ARS	17.5	-0.2%	-14.0%
Australia	AUD	1.3	-2.2%	1.2%
Brazil	BRL	3.3	-2.1%	2.4%
Canada	CAD	1.3	-1.3%	5.1%
China	CNY	6.6	0.1%	3.3%
Egypt	EGP	17.6	-0.1%	-10.4%
EU	EUR	0.9	-0.1%	8.1%
India	INR	64.8	0.3%	4.2%
Indonesia	IDR	13,525.4	0.0%	-1.6%
Japan	JPY	112.8	0.1%	-3.9%
Kazakhstan	KZT	332.2	1.4%	2.1%
Rep. Korea	KRW	1,100.9	2.8%	5.4%
Mexico	MXN	18.9	-0.4%	5.8%
Nigeria	NGN	306.0	0.7%	-0.6%
Philippines	PHP	50.9	1.0%	-3.4%
Russian Fed.	RUB	59.0	-2.1%	8.5%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	14.1	-2.6%	-0.8%
Thailand	THB	32.9	1.0%	7.0%
Turkey	TRY	3.9	-5.8%	-18.2%
UK	GBP	0.8	0.2%	5.9%
Ukraine	UAH	26.7	-0.3%	-4.0%
Viet Nam	VND	22,706.3	0.0%	-1.2%

FAO Food Price Index
Nov2016-Nov2017Nominal Broad Dollar Index
Nov2016-Nov2017

Futures markets

Futures Prices – nearby

	Nov-17 Average	% Change	
		M/M	Y/Y
Wheat	156	-2.5%	+5.1%
Maize	135	-1.6%	-0.2%
Rice	258	-1.7%	+24.4%
Soybeans	361	+0.8%	-2.0%

Source: CME

Futures prices

Prices for wheat and maize edged slightly lower m/m while soybeans rose less than 1 percent as the global supply and demand outlook appeared to find equilibrium. In wheat, other origin production offset historic low US production and shortfalls in some regions such as Australia, with the USDA projecting total 2017/18 ending stocks at record levels. In maize, although US production fell slightly behind last year's bumper crop, a record yield per acre estimated by the USDA in November and a glut in the US ethanol market as a result of trade disputes weighed on prices, even as demand from China accelerated. In soybeans, a slightly lower y/y global production level was balanced by a comfortable beginning stock level. In exogenous markets, the USD index (composed of six major currencies) traded in a narrow channel over the last two months, following a two year downtrend. The price of crude oil, however, which spiked over 10 percent, had seemingly no effect on agricultural markets, despite the correlation between energy and maize prices. Wheat values were 5 percent higher respectively y/y, while maize was unchanged and soybean prices were 2 percent lower. Rice prices, which had increased dramatically between April and September, tumbled during the first two weeks of November and then recovered lost ground to end about unchanged m/m and 24.4 percent higher y/y.

Volumes and volatility

Trade volumes soared 78 percent and 88 percent in wheat and maize respectively m/m while slumping in soybeans by 37 percent. Wheat and maize volumes were also higher y/y with soybean volumes dropping below the numbers from a year ago. Both historical and implied volatility declined for the third successive month for all three commodities, hovering close to all-time low levels.

Basis levels and transport

Domestic basis levels for maize and soybeans appeared steady despite the enormous post-harvest supplies. In Illinois, the interior bids to local elevators were quoted minus USD 10 (per tonne) under the December futures

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Nov-17	Oct-17	Nov-16
Wheat	17.8	27.2	25.2
Maize	12.4	17.1	22.5
Rice	21.1	18.4	26.5
Soybeans	13.4	13.7	16.4

for maize and USD 14 under the January futures prices for soybeans. In Iowa, the bids were similarly steady to higher at minus USD 15 for maize and minus USD 29 for soybeans (both under the respective December and January futures). Domestic soft red wheat values were steady at about minus USD 4 below the December futures price for delivery to the northern mills. Basis levels for Gulf export delivery for maize rose m/m by about USD 4 per tonne to USD 14 while remaining soft for soybeans at USD 8 over their respective futures. Soft Red Wheat values for Gulf delivery were firm with quotes ranging from USD 21 to USD 25 over the December futures. Barge freight has fallen to USD 16 per tonne after spiking to a level of USD 30 in September, and was 30 percent below the three year average (lower Illinois River quotations). Exports and export commitments for all three commodities continued to lag behind last year's record pace. Both shipped and unshipped exports trailed at 83 percent of last year's totals, with wheat tracking the closest and maize falling the furthest behind.

Forward curves

Forward curves for wheat, maize and soybeans persisted in their same configurations of seasonally wide carries as prices moved little m/m. The most volatile spread among the three commodities – the old crop/new crop soybean spread (July 2018 minus November 18) – maintained a modest inverse of USD 6 per tonne. Deliveries against the December maize futures were 1 204 contracts and against the December wheat futures were 2 000 contracts, indicating a surplus in the cash markets, as would be expected at this point in the year (soybeans are not deliverable in December, but in January).

Investment flows

Managed money increased its net short positions in wheat and maize for the fourth month in a row, while keeping a modest net long position in soybeans. Managed money held a record net short position in maize of over 230 000 contracts (29 million tonnes) at mid-month, even as volatility levels diminished, decreasing the likelihood of future profitability. Commercials lightened their short positions in all three commodities.

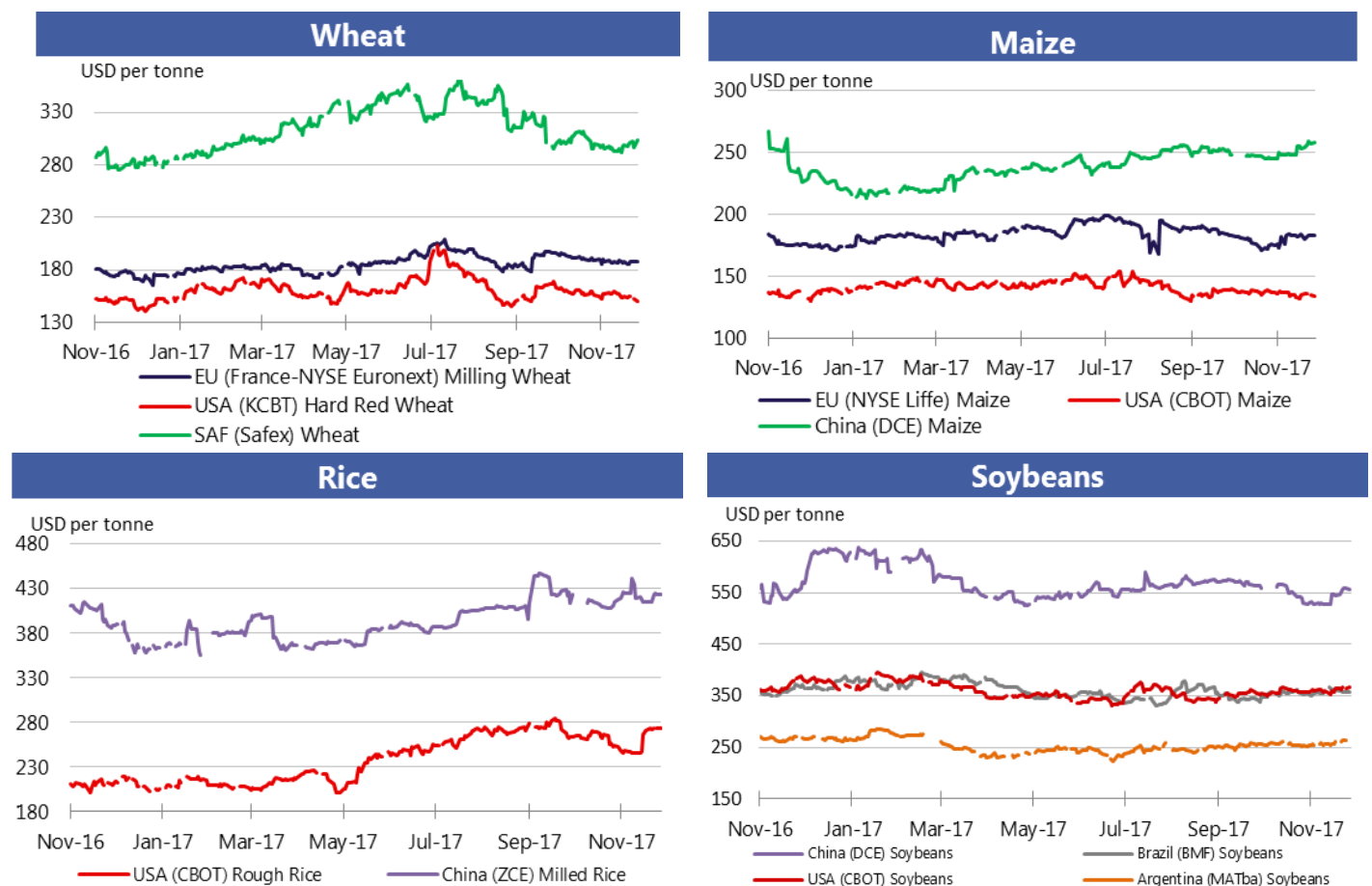


For information on technical terms please view the Glossary at the following link:

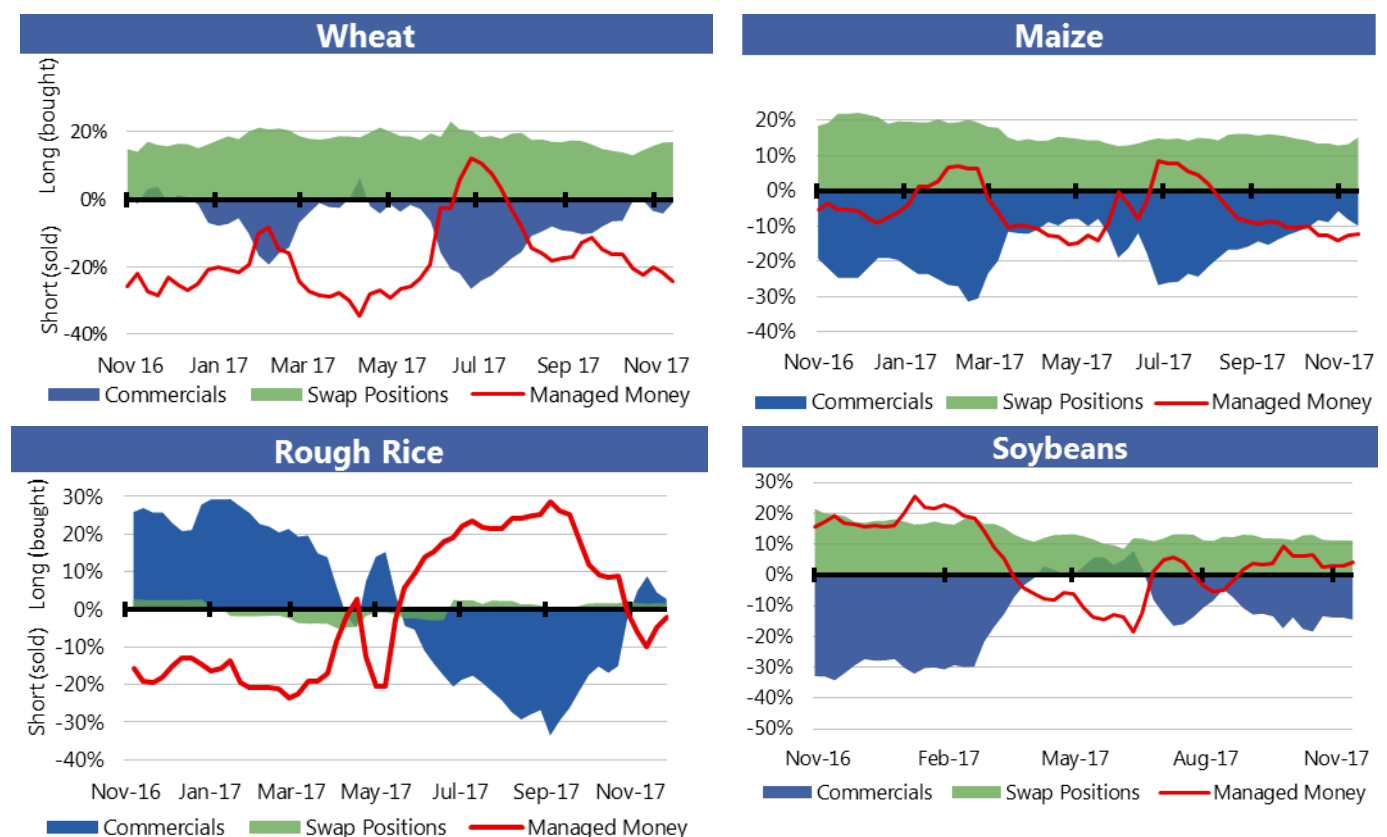
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

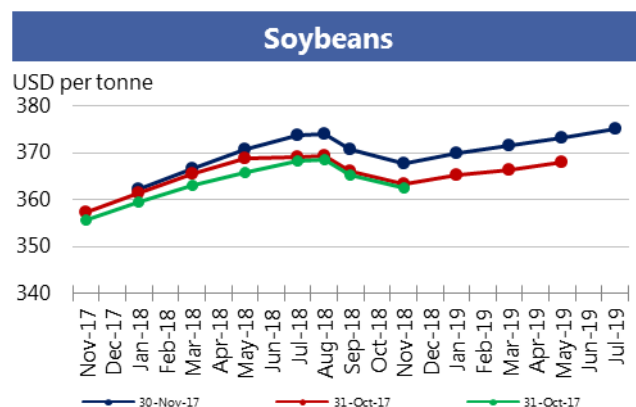
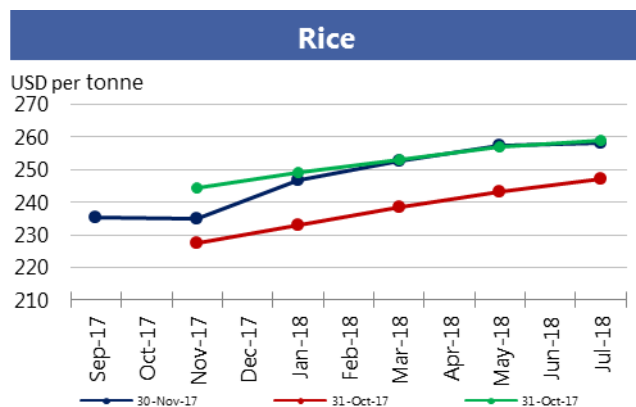
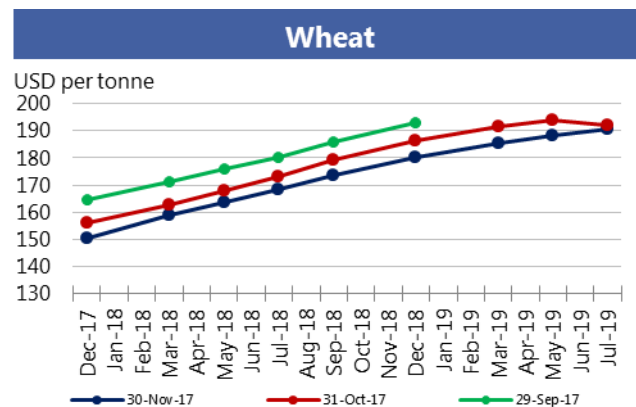
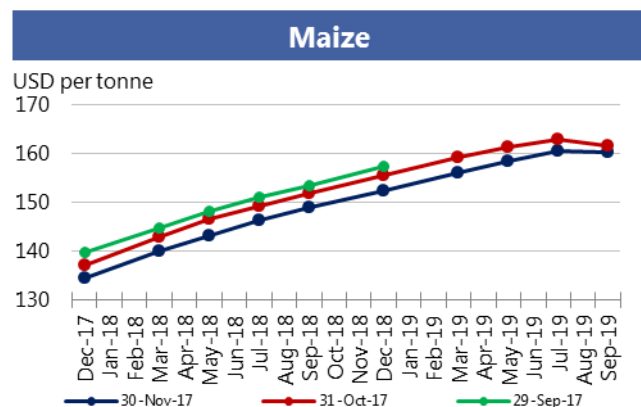


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

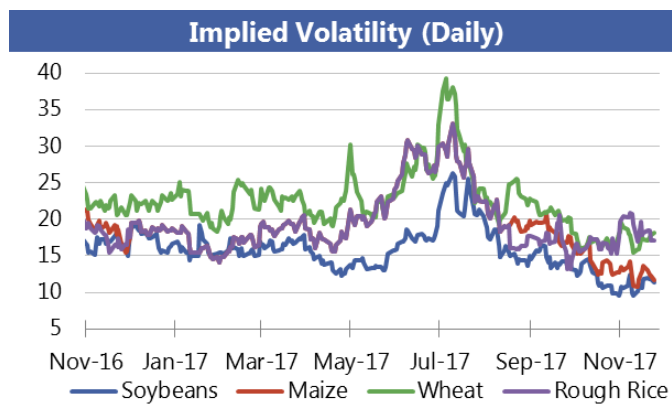
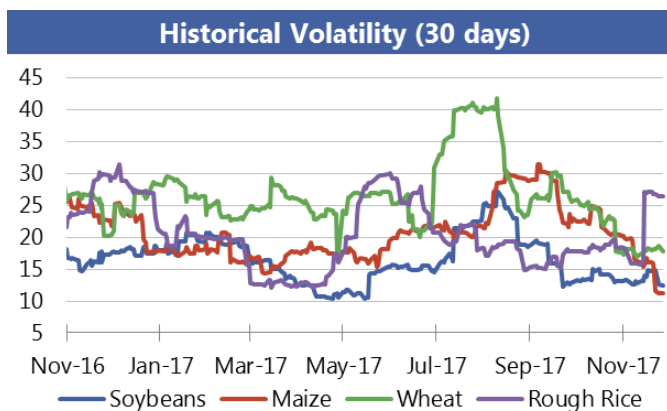


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Monthly US ethanol update

- The **ratio** of nearby ethanol futures to RBOB gasoline fell sharply to just over 0.8, as RBOB gasoline futures jumped.
- **Maize prices** have been trading in a fairly narrow range over the last several weeks.
- **Ethanol margins** turned slightly positive, supported by an increase in the price of DDGs relative to maize prices.
- **DDGs** prices have risen relative to maize for the last several weeks now standing at 110 percent the price of maize on a weight basis. The increase in relative DDGs prices has added almost 5 cents a gallon to the margin index compared to one year ago when DDGs prices were running approximately 90 percent of the price of maize.
- **Ethanol** registered record **production** during the first half of November, representing an annualized production pace of 16.4 billion gallons, well above last month, last year and the annual mandate.

Spot prices	Nov	Oct	Nov
IA, NE and IL/eastern corn belt average	2017*	2017	2016
Maize price (USD per tonne)	125.69	126.85	126.55
DDGs (USD per tonne)	122.65	114.54	107.15
Ethanol price (USD per gallon)	1.35	1.36	1.56

Nearby futures prices	Nov	Oct	Nov
IE, NYSE	2017*	2017	2016
Ethanol (USD per gallon)	1.42	1.41	1.55
RBOB Gasoline (USD per gallon)	1.77	1.65	1.38
Ethanol/RBOB price ratio	80.2%	85.7%	112.0%

Ethanol margins	Nov	Oct	Nov
IA, NE and IL/eastern corn belt	2017*	2017	2016
Average (USD per gallon)	2017*	2017	2016
Ethanol receipts	1.35	1.36	1.56
DDGs receipts	0.38	0.35	0.33
Maize costs	1.16	1.17	1.18
Other costs	0.55	0.55	0.55
Production margin	0.01	-0.01	0.17

Ethanol production	Nov	Oct	Nov
(million gallons)	2017*	2017	2016
Monthly production total	1 351	1 347	1 284
Annualized production pace	16 437	15 865	15 619

Based on USDA data and private sources

* Estimated using available weekly data to date.

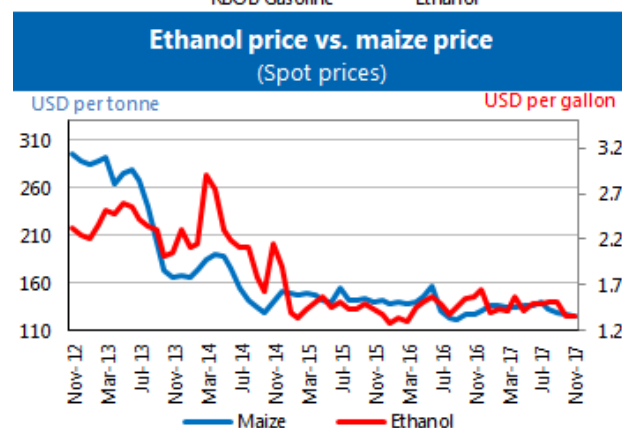
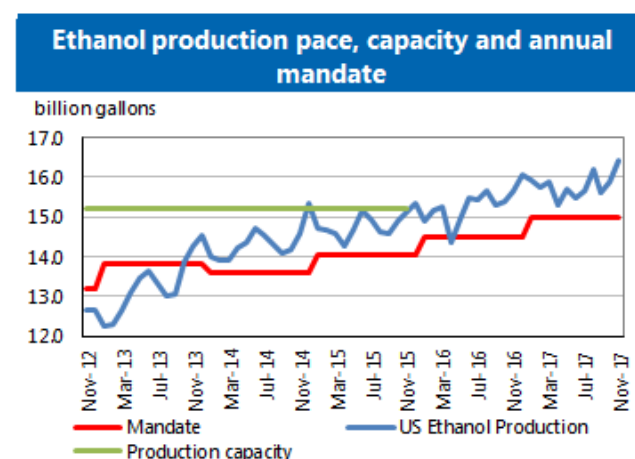
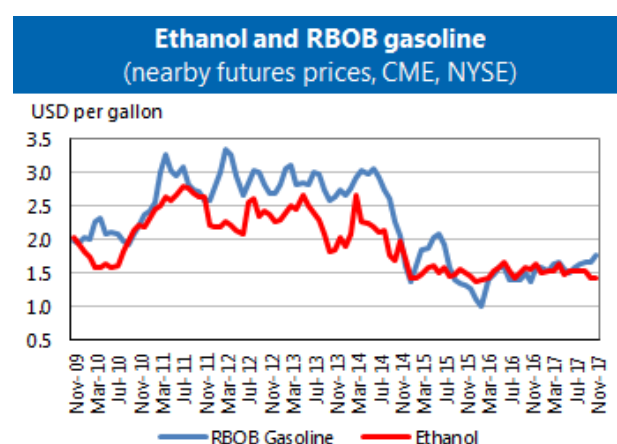
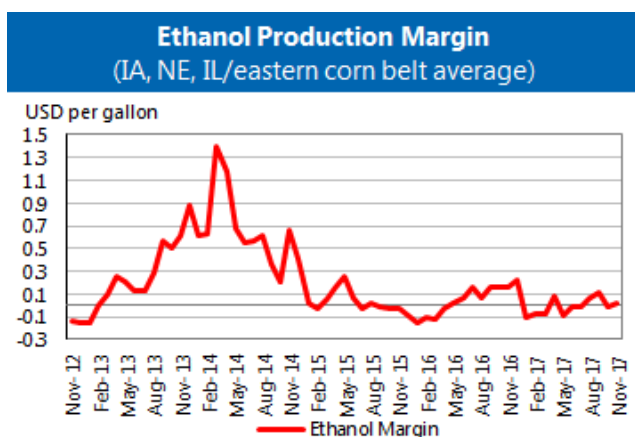


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

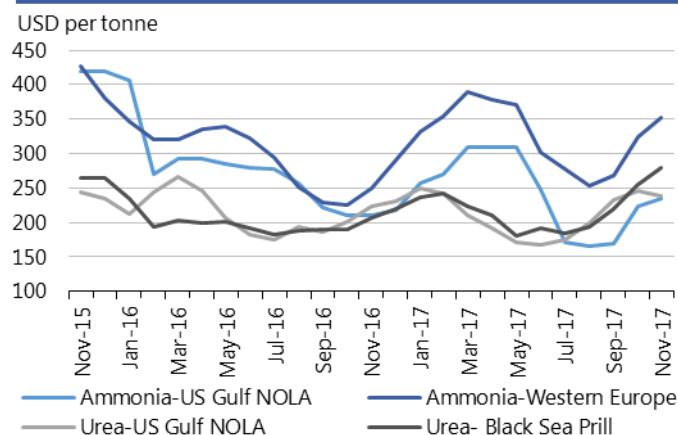
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

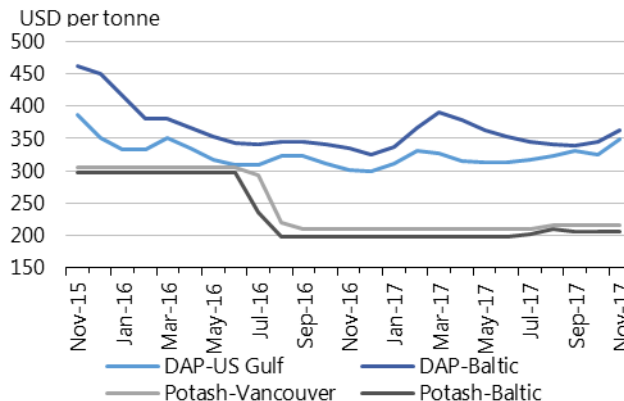
Ammonia and Urea

(Spot prices)



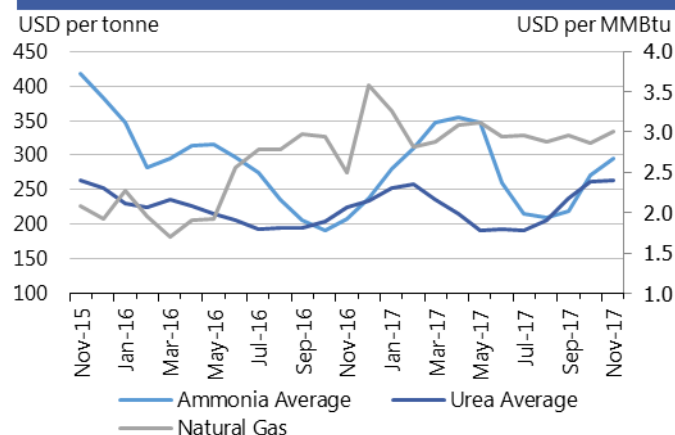
Potash and Phosphate

(Spot prices)



Ammonia Average, Urea Average and Natural Gas

(Spot prices)



- **Ammonia prices** continue their upward trend due to lower supplies in the Black Sea, where portions of ammonia were diverted to produce urea.
- **Urea** prices fell in the US, in contrast to other regions, due to contract withdrawals in India.
- **DAP** prices increased due to the rising wholesale price of ammonia and other compound products.
- **Potash prices** remained stable despite an increase in the global supply.
- **Natural gas** prices started to increase due to higher heating needs in the Northern Hemisphere.

Region	November average	November std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	235.0	-	5.0%	11.9%	310.0	165.0
Ammonia-Western Europe	352.5	5.0	8.5%	41.0%	390.0	254.0
Urea-US Gulf	238.3	12.7	-3.4%	6.1%	249.8	166.8
Urea-Black Sea	280.0	-	9.8%	34.9%	280.0	181.3
DAP-US Gulf	348.0	2.4	6.8%	15.4%	348.0	300.0
DAP-Baltic	362.5	14.4	5.1%	8.2%	390.0	325.0
Potash-Baltic	206.0	-	0.0%	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	3.3%	216.0	209.0
Ammonia	295.9	6.9	9.2%	41.9%	355.6	210.0
Urea	263.3	5.8	0.9%	17.3%	263.3	192.0
Natural Gas	3.0	0.2	4.9%	20.2%	3.6	2.8

All prices shown are in US dollars

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “World Supply and Demand” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “FAO-AMIS”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2018 AMIS Market Monitor Release Dates

February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6

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